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Analysing India’s Export Performance

(Merchandise goods and service sector)

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Introduction

Background

- India has emerged as a growing player in global trade
- Total exports have increased significantly in recent years
- A major shift is seen from merchandise (goods) to services exports
- Services like IT and business outsourcing are driving growth

Problem Statement

- India’s overall exports are growing, but its share in global merchandise exports remains low (around 1.5–2%).
- Imbalance between services and goods exports, with services growing much faster.
- Merchandise (manufacturing) sector is underperforming, limiting India’s global competitiveness.
- Structural issues such as high logistics cost, infrastructure gaps, and regulatory challenges affect export growth.

Objectives

- To examine the change in composition of exports
- To evaluate India's share in global merchandise export
- To compare India's export performance
- to suggest measures and policy recommendations

Research Methodology

The study is based on secondary research and is descriptive and analytical in nature.

Sources:

- Government reports and press releases (Press Information Bureau)
- Official policy documents from Ministry of Commerce & Industry
- Articles and economic analysis reports

Online databases and research websites

Analytical Framework

Comparative Analysis (India vs Vietnam)
Trend Analysis (Growth of Goods and service sector)

Scope of Study:

The study focuses on India's export performance, particularly the comparison between merchandise and services exports and its global share.

Key Insights

Service Sector

- Includes IT services, call centres, consulting, banking & financial services
- Share in global exports increased from 2% (2005) to 4.3% (2024)
- Total exports reached $825.3 billion, growing at 6.1%

  Services exports drove growth (13.6%)

Growth Drivers

- Rise of Global Capability Centres (GCCs)
  - Growing at ~7% annually

Merchandise Goods

Global Share Trend:

2.2% (1948) → 0.4% (1987) → ~1.6% (2025)

Still below 2%

Recent Performance:

$41.4B (Feb 2024) → $36.9B (Feb 2025)

(Exports fell by 10.9%)

Exchange Rate Movement:

₹7.9/$ (1987) → ₹48.4/$ (2003) → ₹84.61/$ (2025)

(*Despite depreciation, exports remain stagnant)*

Growth Phase:

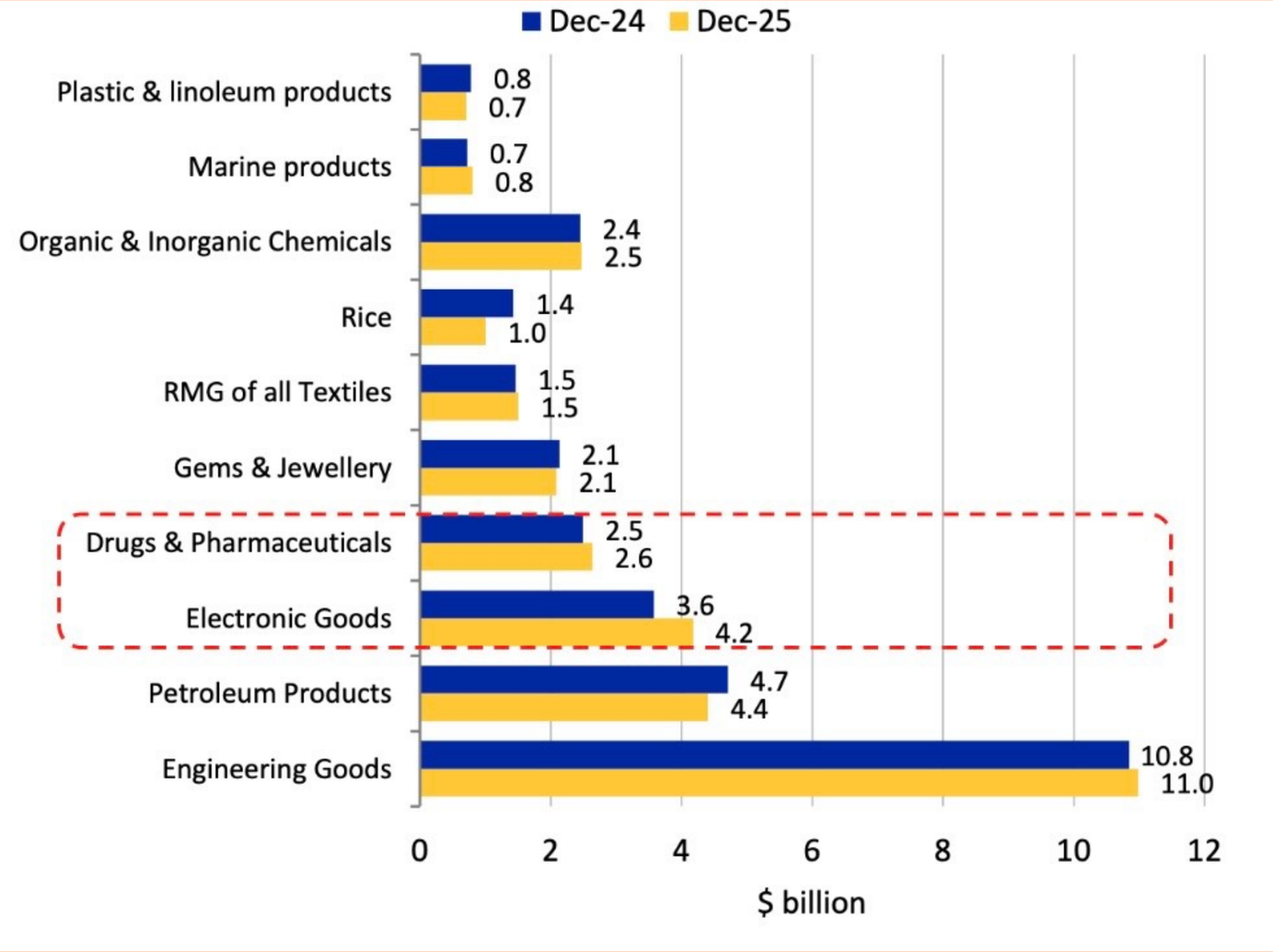
0.8% (2004) → 1.7% (2014)

(Fastest increase in export share)

Current Situation:

Export share stuck around **1.5–1.6% for 15 years**

Goods driving Export growth



Total export is $38.5 billion and electronic exports ,rice poultry are being exported . Electronic goods from $3.6 billion to $4.2 billion could be seen indicating a very strong growth also the drug and pharma is also growing are the main reason exports and the sector whose exports are decreasing are oil exports fell by 7% ,rice fell by around 30% major drop , cotton .fell by 4%.

Structural changes

.Since 1950 India's share at global level has been below 2% and the reason it are:

NO.	YEAR	EXPORT'S SHARE	REASON
1	Late 1940s	1.8%	
2	1970s	0.5-0.7%	Inward looking policies
3	1987	0.4%	Foreign exchange rate(7.9/$)
4	2003	0.8%	RBI depreciated it to 48.4/$
5	2022-2023	1.7%	Post covid -19 recovery

Why India is Lagging?

Poor logistics ,Poor infrastructure ,Complex rules Red Tape-India has too many regulation and 26,134 compliance can lead to jail.

Competitors have better manufacturing ecosystem such as Vietnam,China

Weak integration into global supply chain and fewer large scale exports

Why Service Sector can’t replace Manufacturing sector

- **Employment Distribution**:47%of the population is in agriculture and 26% in service exports ,skill based is concentrated to urban centres ,doesn’t cover majority of workforce .
- **Skill intensive vs Accessible**:Service sector required years of education and training while manufacturing can absorb semi skilled workers much at faster scale .
- **Infrastructural Multiplier** :it need a better infrastructure ,somehow it leads the government to make better infrastructure.
- **Linkage effect** :Manufacturing creates demand for raw material,logstics pull other sectors

Comparative Case Study

Vietnam

- China +1
- 80+ Double Tax Avoidance Agreements
- Labour Flexibility
- Strong FDI inflow shows global firms prefer Vietnam for relocation

Free Trade agreements

- Joined World Trade Organisation in 2007.
- 16 active FTA
- Easy export access to multiple High demand market

Key Trade Agreements Boosting Vietnam's Supply Chains

- Economy The Regional Comprehensive Economic Partnership (REP);
- The European Union Vietnam Free Trade Agreement (EVFTA);
- The UK-Vietnam Free Trade Agreement (UKVFTA).

Integration with global supply Chain

- Samsung producer major share
- Apple suppliers shifted to Vietnam

Vietnam's exports account for approximately 80% of its GDP.

Why Vietnam is Outperforming India

Factor	India	Vietnam
Export Strategy	Service-led growth	Manufacturing-led exports
Global Supply Chains	Weak integration	Strong integration (China+1)
Trade Agreements	Limited FTAs	16+ FTAs, wider market access
Manufacturing Base	Underdeveloped	Strong (electronics, textiles)
FDI Inflows	Moderate	High (global firms shifting)
Exports to GDP	21%	80% (export-driven economy)

Initiatives by the Government

Free Trade agreements are bing implemented .

Country India recently has signed are UK ,Oman and ongoing negotiations are there between USA, Chile, Peru, European Union, New Zealand

01 Production Linked Incentive .

02 Interest subvention scheme

03 Export promotion, capital (EPCG Scheme)

04 Export Oriented Units.

- Government initiative that gives financial incentives to companies based on how much they produce and sell, which helps company to produce more in India, mainly is focusing on electronic manufacturing .

- Government program that provides loans to exporters at lower interest rates by subsidising apart of the interest.Handlooms, handicrafts, carpet, MSME, sports ,garment ,agricultural product will be benefited.

- It allows company to import machinery and equipment at zero or low custom duty provided their export goods in return

- companies that produce goods mainly for export and receive special benefits from government such as easier, approval and fewer restriction, duty-free import of raw materials and machinery and tax benefits

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03

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Conclusion

India’s export performance shows steady growth, largely driven by the services sector
However, merchandise exports remain weak, limiting India’s ability to expand its global market share
The comparison with Vietnam highlights that manufacturing-led, export-oriented strategies are more effective for global trade success
Over-reliance on services may lead to limited job creation and external vulnerability

India is growing, but not gaining global market share — and that is the real concern.”India’s export performance shows steady growth, largely driven by the services sector.

Thank you